

**CONSOLIDATED SCHOOL DISTRICT
NO. IV OF JACKSON COUNTY,
MISSOURI**

**AUDITED FINANCIAL STATEMENTS
AS OF AND FOR THE YEAR ENDED
JUNE 30, 2025**

**TOGETHER WITH
INDEPENDENT AUDITORS' REPORT**

**DSWA CERTIFIED PUBLIC ACCOUNTANTS, P.C.
1118 REMINGTON PLAZA, SUITE A
RAYMORE, MISSOURI 64083**

CONSOLIDATED SCHOOL DISTRICT NO. IV OF JACKSON COUNTY, MISSOURI
TABLE OF CONTENTS
FOR THE YEAR ENDED JUNE 30, 2025

Page

FINANCIAL SECTION:

Independent Auditors' Report	1
-------------------------------------	---

Basic Financial Statements:

Government-Wide Financial Statements:

Statement of Net Position - Modified Cash Basis	4
---	---

Statement of Activities - Modified Cash Basis	5
---	---

Fund Financial Statements:

Balance Sheet - Modified Cash Basis - Governmental Funds	6
--	---

Combined Statement of Revenues, Expenditures, and Changes in Fund Balances - Modified Cash Basis - Governmental Funds	7
--	---

Reconciliation of the Combined Statement of Revenues, Expenditures, and Changes in Fund Balances of Governmental Funds to the Statement of Activities - Modified Cash Basis	8
--	---

Notes to the Basic Financial Statements	9
---	---

Independent Auditors' Report on Internal Control Over Financial Reporting and on Compliance and Other Matters Based on an Audit of Financial Statements Performed in Accordance With <i>Government Auditing Standards</i>	24
--	----

Schedule of Current Year Findings and Responses to the Independent Auditors' Report on Internal Control Over Financial Reporting and on Compliance and Other Matters Based on an Audit of Financial Statements Performed in Accordance With <i>Government Auditing Standards</i>	26
---	----

Schedule of Prior Year Findings and Responses to the Independent Auditors' Report on Internal Control Over Financial Reporting and on Compliance and Other Matters Based on an Audit of Financial Statements Performed in Accordance With <i>Government Auditing Standards</i>	27
---	----

Other Information:

Statement of Revenues, Expenditures, and Changes in Fund Balances -
Modified Cash Basis - Budget and Actual

General Fund	28
--------------	----

Special Revenue Fund	29
----------------------	----

Debt Service Fund	30
-------------------	----

Capital Projects Fund	31
-----------------------	----

Other Supplementary Information:

Combined Schedule of Revenues Collected by Source - Modified Cash Basis	32
---	----

Supplementary State Information:

Independent Accountants' Report	33
---------------------------------	----

Schedule of Current Year Findings and Responses to the Independent Accountants' Report	34
--	----

Schedule of Prior Year Findings and Responses to the Independent Accountants' Report	35
--	----

Schedule of Selected Statistics	36
---------------------------------	----

CONSOLIDATED SCHOOL DISTRICT NO. IV OF JACKSON COUNTY, MISSOURI
TABLE OF CONTENTS
FOR THE YEAR ENDED JUNE 30, 2025

Page

SINGLE AUDIT SECTION:

Schedule of Expenditures of Federal Awards	44
Notes to the Schedule of Expenditures of Federal Awards	45
Independent Auditors' Report on Compliance for Each Major Program and on Internal Control over Compliance Required by the Uniform Guidance	46
Schedule of Findings and Questioned Costs	48



210 W. Ohio
Butler, MO 64730
Phone: 660.679.6571
Fax: 660.679.6575

1626 Hedges Plaza
Nevada, MO 64772
Phone: 417.667.6375
Fax: 417.667.6420

1118 Remington Plaza, Suite A
Raymore, MO 64083
Phone: 816.331.4242
Fax: 816.322.4646

INDEPENDENT AUDITORS' REPORT

To the Board of Education
Consolidated School District No. IV of Jackson County, Missouri
Grandview, Missouri

Report on the Audit of the Financial Statements

Opinions

We have audited the accompanying modified cash basis financial statements of the governmental activities and each major fund of the Consolidated School District No. IV of Jackson County, Missouri ("District"), as of and for the fiscal year ended June 30, 2025, and the related notes to the financial statements, which collectively comprise the District's basic financial statements as listed in the table of contents.

In our opinion, the financial statements referred to above present fairly, in all material respects, the respective modified cash basis financial position of the governmental activities and each major fund of the District as of June 30, 2025, and the respective changes in modified cash basis financial position thereof, for the fiscal year then ended in accordance with the modified cash basis of accounting described in Note 1.

Basis for Opinions

We conducted our audit in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States. Our responsibilities under those standards are further described in the Auditors' Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of the District and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Emphasis of Matter—Basis of Accounting

We draw attention to Note 1 of the financial statements, which describes the basis of accounting. The financial statements are prepared on the modified cash basis of accounting, which is a basis of accounting other than accounting principles generally accepted in the United States of America. Our opinions are not modified with respect to this matter.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with the modified cash basis of accounting described in Note 1, and for determining that the modified cash basis of accounting is an acceptable basis for the preparation of the financial statements in the circumstances. Management is also responsible for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the District's ability to continue as a going concern for twelve months beyond the financial statement date, including any currently known information that may raise substantial doubt shortly thereafter.

Auditors' Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinions. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with generally accepted auditing standards and *Government Auditing Standards* will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with generally accepted auditing standards and *Government Auditing Standards*, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the District's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the District's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

Other Supplementary Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the District's basic financial statements. The accompanying combined schedule of revenues collected by source – modified cash basis and schedule of expenditures of federal awards, as required by Title 2 U.S. *Code of Federal Regulations* Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* are presented for purposes of additional analysis and are not a required part of the basic financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the basic financial statements. The information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the combined schedule of revenues collected by source – modified cash basis and the schedule of expenditures of federal awards are fairly stated, in all material respects, in relation to the basic financial statements as a whole.

Other Information

Management is responsible for the other information included in the annual report. The other information comprises the budgetary comparison schedules but does not include the basic financial statements and our auditors' report thereon. Our opinions on the basic financial statements do not cover the other information, and we do not express an opinion or any form of assurance thereon.

In connection with our audit of the basic financial statements, our responsibility is to read the other information and consider whether a material inconsistency exists between the other information and the basic financial statements, or the other information otherwise appears to be materially misstated. If, based on the work

performed, we conclude that an uncorrected material misstatement of the other information exists, we are required to describe it in our report.

Other Reporting Required by *Government Auditing Standards*

In accordance with *Government Auditing Standards*, we have also issued our report dated December 11, 2025, on our consideration of the District's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is solely to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the District's internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the District's internal control over financial reporting and compliance.

Report on Other Legal and Regulatory Requirements

In accordance with requirements of Missouri laws and regulations, we have also issued our report dated December 11, 2025, on our consideration of certain management's assertions of the District. The purpose of that report is to describe the scope of our testing of certain management assertions related to requirements of Missouri laws and regulations pertaining to public school districts and the results of that testing, and not to provide an opinion on such assertions.

DSWA Certified Public Accountants, P.C.

Raymore, Missouri
December 11, 2025

CONSOLIDATED SCHOOL DISTRICT NO. IV OF JACKSON COUNTY, MISSOURI
STATEMENT OF NET POSITION - MODIFIED CASH BASIS
JUNE 30, 2025

	Governmental Activities
ASSETS	
Cash	\$ 11,837,271
Investments	85,545,227
Capital assets, net of accumulated depreciation	<u>105,804,690</u>
Total assets	<u>203,187,188</u>
LIABILITIES	
Current liabilities:	
Finance leases due in less than one year	1,013,262
General obligation bonds due within one year	6,980,000
Noncurrent liabilities:	
Finance leases due in more than one year	11,566,509
General obligation bonds due in more than one year	<u>80,875,000</u>
Total liabilities	<u>100,434,771</u>
NET POSITION	
Net investment in capital assets	5,369,919
Restricted for:	
Employee wellness programs	62,333
Debt service	10,483,453
Unspent bond proceeds	42,616,043
Unrestricted	<u>44,220,669</u>
Total net position	<u>\$ 102,752,417</u>

The notes to the financial statements are an integral part of this statement.

CONSOLIDATED SCHOOL DISTRICT NO. IV OF JACKSON COUNTY, MISSOURI
STATEMENT OF ACTIVITIES - MODIFIED CASH BASIS
FOR THE YEAR ENDED JUNE 30, 2025

					Net (Expense) Revenue and Changes In Net Position
Functions	Expenses	Program Revenues			Total Governmental Activities
		Charges for Services	Operating Grants And Contributions	Capital Grants And Contributions	
PRIMARY GOVERNMENT					
GOVERNMENTAL ACTIVITIES					
Instructional services					
Regular	\$ 24,757,543	\$ 233,567	\$ 1,472,865	\$ -	\$ (23,051,111)
Special	7,864,328	-	5,779,933	-	(2,084,395)
Vocational	90,798	-	31,122	-	(59,676)
Student activities	1,200,293	337,645	-	-	(862,648)
Payments to other districts	1,981,369	-	-	-	(1,981,369)
Supporting services					
Students	5,493,821	-	-	-	(5,493,821)
Instructional staff	2,849,651	-	350,345	-	(2,499,306)
Building administration	2,648,618	-	-	-	(2,648,618)
General administration	6,522,294	-	-	-	(6,522,294)
Operation and maintenance of facilities	8,148,346	-	-	-	(8,148,346)
Transportation	4,564,041	-	1,579,973	-	(2,984,068)
Food services	2,192,181	169,517	1,565,582	-	(457,082)
Community services	1,457,852	-	-	-	(1,457,852)
Facilities acquisition and construction	2,774,416	-	-	-	(2,774,416)
Principal	(263,708)	-	-	-	263,708
Interest	3,322,389	-	-	-	(3,322,389)
Other	543,139	-	-	-	(543,139)
Total school district	\$ 76,147,371	\$ 740,729	\$ 10,779,820	\$ -	(64,626,822)
GENERAL REVENUES					
Property taxes levied for:					
General purposes					41,103,751
Debt service					10,816,786
Capital outlay					1,029,301
Federal and state aid not restricted to specific purposes					16,823,445
Gain on sale of assets					151
Earnings on investments					3,254,250
Premium on bonds sold					5,236,593
Miscellaneous					1,886,421
Total general revenues					80,150,698
Change in net position					15,523,876
NET POSITION - BEGINNING					87,228,541
NET POSITION - ENDING					\$ 102,752,417

The notes to the financial statements are an integral part of this statement.

CONSOLIDATED SCHOOL DISTRICT NO. IV OF JACKSON COUNTY, MISSOURI
BALANCE SHEET - MODIFIED CASH BASIS
GOVERNMENTAL FUNDS
JUNE 30, 2025

	<u>General Fund</u>	<u>Special Revenue Fund</u>	<u>Debt Service Fund</u>	<u>Capital Projects Fund</u>	<u>Total Governmental Funds</u>
ASSETS					
Cash	\$ (2,107,537)	\$ 600	\$ 8,762,331	\$ 5,181,877	\$ 11,837,271
Investments	<u>32,551,247</u>	<u>-</u>	<u>1,721,122</u>	<u>51,272,858</u>	<u>85,545,227</u>
Total assets	<u>\$ 30,443,710</u>	<u>\$ 600</u>	<u>\$ 10,483,453</u>	<u>\$ 56,454,735</u>	<u>\$ 97,382,498</u>
FUND BALANCES					
Restricted for:					
Employee wellness programs	\$ 62,333	\$ -	\$ -	\$ -	\$ 62,333
Debt service	-	-	10,483,453	-	10,483,453
Unspent bond proceeds	-	-	-	42,616,043	42,616,043
Assigned to:					
Future teacher salaries and benefits	-	600	-	-	600
Capital outlay	-	-	-	13,838,692	13,838,692
Student activities	384,311	-	-	-	384,311
Unassigned	<u>29,997,066</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>29,997,066</u>
Total fund balances	<u>30,443,710</u>	<u>600</u>	<u>10,483,453</u>	<u>56,454,735</u>	<u>97,382,498</u>
Total liabilities and fund balances	<u>\$ 30,443,710</u>	<u>\$ 600</u>	<u>\$ 10,483,453</u>	<u>\$ 56,454,735</u>	<u>\$ 97,382,498</u>

Reconciliation to Statement of Net Position

Amounts reported for governmental activities in the statement of net position are different because:

Total fund balance - governmental funds **\$ 97,382,498**

Capital assets used in governmental activities are not financial resources and, therefore, are not reported in the funds. The cost of the assets is \$180,258,188 and the accumulated depreciation is \$74,453,498. 105,804,690

Long-term liabilities, including bonds and finance leases payable, are not due and payable in the current period and, therefore, are not reported in the funds. (100,434,771)

Total net position - governmental activities **\$ 102,752,417**

The notes to the financial statements are an integral part of this statement.

CONSOLIDATED SCHOOL DISTRICT NO. IV OF JACKSON COUNTY, MISSOURI
COMBINED STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES
MODIFIED CASH BASIS
GOVERNMENTAL FUNDS
FOR THE YEAR ENDED JUNE 30, 2025

	General Fund	Special Revenue Fund	Debt Service Fund	Capital Projects Fund	Total Governmental Funds
Revenues					
Local	\$ 38,216,324	\$ 5,647,925	\$ 11,584,811	\$ 7,166,519	\$ 62,615,579
County	704,857	20,292	488,538	-	1,213,687
State	4,974,914	9,517,439	-	1,409,927	15,902,280
Federal	11,331,248	-	369,737	-	11,700,985
Other	-	233,567	-	-	233,567
Total revenues	<u>55,227,343</u>	<u>15,419,223</u>	<u>12,443,086</u>	<u>8,576,446</u>	<u>91,666,098</u>
Expenditures					
Instructional services					
Regular	3,310,387	18,490,692	-	176,798	21,977,877
Special	2,868,656	4,995,577	-	95	7,864,328
Vocational	47,024	-	-	193,774	240,798
Student activities	552,747	622,931	-	24,615	1,200,293
Payments to other districts	-	1,981,369	-	-	1,981,369
Supporting services					
Students	3,496,202	1,997,619	-	-	5,493,821
Instructional staff	1,199,004	1,650,647	-	-	2,849,651
Building administration	631,263	2,017,355	-	-	2,648,618
General administration	4,463,577	1,929,483	-	208,134	6,601,194
Operation and maintenance of facilities	8,098,446	-	-	156,700	8,255,146
Transportation	4,010,844	-	-	663,430	4,674,274
Food service	2,231,531	-	-	-	2,231,531
Other services					
Community services	1,189,351	268,501	-	-	1,457,852
Facilities acquisition and construction	-	-	-	12,668,262	12,668,262
Principal	-	-	8,819,628	468,865	9,288,493
Interest	-	-	2,880,707	441,682	3,322,389
Other	-	-	2,509	540,630	543,139
Total expenditures	<u>32,099,032</u>	<u>33,954,174</u>	<u>11,702,844</u>	<u>15,542,985</u>	<u>93,299,035</u>
Excess of revenues over (under) expenditures	<u>23,128,311</u>	<u>(18,534,951)</u>	<u>740,242</u>	<u>(6,966,539)</u>	<u>(1,632,937)</u>
Other financing sources (uses)					
Sale of bonds	-	-	-	50,000,000	50,000,000
Net insurance recovery	8,757	-	-	-	8,757
Sale of other property	525	-	-	-	525
Proceeds from refunding bonds	-	-	805,000	-	805,000
Transfers in (out)	<u>(18,534,951)</u>	<u>18,534,951</u>	<u>-</u>	<u>-</u>	<u>-</u>
Total other financing sources (uses)	<u>(18,525,669)</u>	<u>18,534,951</u>	<u>805,000</u>	<u>50,000,000</u>	<u>50,814,282</u>
Net change in fund balances	<u>4,602,642</u>	<u>-</u>	<u>1,545,242</u>	<u>43,033,461</u>	<u>49,181,345</u>
Fund balances - beginning	27,507,593	600	8,938,211	11,754,749	48,201,153
Prior period adjustment (see Note 14)	<u>(1,666,525)</u>	<u>-</u>	<u>-</u>	<u>1,666,525</u>	<u>-</u>
Fund balances - beginning, as restated	<u>25,841,068</u>	<u>600</u>	<u>8,938,211</u>	<u>13,421,274</u>	<u>48,201,153</u>
Fund balances - ending	<u>\$ 30,443,710</u>	<u>\$ 600</u>	<u>\$ 10,483,453</u>	<u>\$ 56,454,735</u>	<u>\$ 97,382,498</u>

The notes to the financial statements are an integral part of this statement.

**CONSOLIDATED SCHOOL DISTRICT NO. IV OF JACKSON COUNTY, MISSOURI
RECONCILIATION OF THE COMBINED STATEMENT OF REVENUES, EXPENDITURES, AND
CHANGES IN FUND BALANCES OF GOVERNMENTAL FUNDS TO THE STATEMENT OF ACTIVITIES
MODIFIED CASH BASIS
FOR THE YEAR ENDED JUNE 30, 2025**

Amounts reported for governmental activities in the statement of activities are different because:

Net change in fund balances - total governmental funds **\$ 49,181,345**

Governmental funds report capital outlays as expenditures. However, in the statement of activities, assets with an initial, individual cost of more than \$10,000 are capitalized and the cost is allocated over their estimated useful lives and reported as depreciation expense. This is the amount by which capital outlays exceeded depreciation in the current period.

Capital outlays	\$ 11,707,773	
Gain on disposal of capital assets	151	
Proceeds from sales of capital assets	(6,784)	
Depreciation expense	<u>(3,332,863)</u>	8,368,277

Capital assets acquired by finance leases are shown as an expenditure and revenue in the governmental funds. The revenue must be removed from the statement of activities; principal payments are applied to the liability; interest expense is recognized as it is paid.

Other financing source - finance leases payable	(1,058,580)	
Principal payments - finance leases	<u>754,498</u>	(304,082)

The governmental funds report bond proceeds as an other financing source, while repayment of bond principal is reported as an expenditure. However, bond proceeds and repayment of bond principal are not included in the statement of activities because they are reported as changes in the balance of debt in the statement of net assets. The net effect of this difference in the treatment of general obligation bonds and related items is as follows:

General obligation refunding bond proceeds	(805,000)	
General obligation bond proceeds	(50,000,000)	
Repayment of bond principal	<u>9,083,336</u>	(41,721,664)

Change in net position of governmental activities **\$ 15,523,876**

The notes to the financial statements are an integral part of this statement.

CONSOLIDATED SCHOOL DISTRICT NO. IV OF JACKSON COUNTY, MO

NOTES TO THE BASIC FINANCIAL STATEMENTS

1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES:

- A. Reporting Entity: The financial reporting entity consists of (a) the primary government, (b) organizations for which the primary government is financially accountable, and (c) other organizations for which the primary government is not accountable, but for which the nature and significance of their relationship with the primary government are such that exclusion would cause the reporting entity's financial statements to be misleading or incomplete. Component units are legally separate organizations for which the elected officials of the primary government are financially accountable. Financially accountable means the primary government is accountable for the component unit and the primary government is able to impose its will or the component unit may provide financial benefits or impose a burden on the primary government. In addition, component units can be other organizations for which the nature and significance of their relationship with the primary government are such that exclusion would cause the reporting entity's financial statements to be misleading or incomplete.

The District is a primary government which is governed by an elected seven-member board. As required by accounting principles generally accepted in the United States of America, the District has evaluated the above criteria to determine whether any other entity meets the definition of a component unit and must be included in these financial statements. The District is not aware of any entity that would be required to include the District as a component unit.

- B. Basis of Presentation: The District's basic financial statements consist of government-wide statements, including a Statement of Net Position and a Statement of Activities, and fund financial statements which provide a more detailed level of financial information.

1. Government-wide financial statements: The Statement of Net Position and the Statement of Activities display information about the District as a whole. These statements include the financial activities of the primary government. The statements present governmental activities generally financed through taxes, intergovernmental receipts, and other non-exchange transactions.

The Statement of Net Position presents the financial condition of the governmental activities of the District at year end. The Statement of Activities presents a comparison between direct expenditures and program revenues for each program or function of the District's governmental activities. Direct expenditures are those that are specifically associated with a service, program or department and; therefore, clearly identifiable to a particular function. Program revenues include charges paid by the recipient of the goods or services offered by the program, grants and contributions that are restricted to meeting the operational or capital requirements of a particular program and interest earned on grants that is required to be used to support a particular program. Revenues which are not classified as program revenues are presented as general revenues of the District. The comparison of direct expenses with program revenues identifies the extent to which each governmental function is self-financing or draws from the general revenues of the District.

2. Fund financial statements: The Balance Sheet and Statement of Revenues, Expenditures, and Changes in Fund Balances present the activities of the District segregated into funds in order to aid financial management and demonstrate legal compliance. Each fund is presented in a separate column.

CONSOLIDATED SCHOOL DISTRICT NO. IV OF JACKSON COUNTY, MO

NOTES TO THE BASIC FINANCIAL STATEMENTS

1. **SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued):**

- C. **Fund Accounting:** The District's accounts are organized on the basis of funds, each of which is considered to be a separate accounting entity with a set of self-balancing accounts which comprise its assets, fund balance, revenues and expenditures. District resources are allocated to the individual funds based on the purposes for which they are to be spent and the means by which spending activities are controlled. The following funds are used by the District:
1. **General Fund** - Accounts for general activities of the District, including student activities and food service, which are not required to be accounted for in a separate fund.
 2. **Special Revenue Fund** - Accounts for expenditures for certified employees involved in administration and instruction. It includes revenues restricted by the State for payment of teachers' salaries and employee benefits.
 3. **Debt Service Fund** – Accounts for the accumulation of resources for the payment of long-term debt principal, interest, and related costs.
 4. **Capital Projects Fund** - Accounts for the proceeds of long-term debt, taxes and other revenues designated for construction of major capital assets and all other capital outlay.
- D. **Basis of Accounting:** The financial statements are presented in accordance with a modified cash basis of accounting, which is a basis of accounting other than Generally Accepted Accounting Principles (GAAP) as established by GASB. This basis of accounting involves modifications to the cash basis of accounting to report, in the statement of net position and statement of activities, cash transactions or events that provide a benefit or result in an obligation that covers a period greater than the period in which the cash transaction or event occurred. Such reported balances include capital assets and related depreciation, investments, certain short-term and long-term liabilities arising from cash transactions or events and certain payroll expenditures described below in Note 1 (I).

This modified cash basis of accounting differs from GAAP primarily because certain assets and their related revenues (such as accounts receivable and revenue for billed or provided services not yet collected and other accrued revenue and receivables) and certain liabilities and their related expenditures (such as accounts payable and expenses for goods or services received but not yet paid, and accrued expenses and liabilities) are not recorded in these financial statements. In addition, other economic assets, deferred outflows of resources, liabilities, and deferred inflows of resources that do not arise from a cash transaction or event are not reported, and the measurement of reported assets and liabilities does not involve adjustment to fair value.

If the District utilized accounting principles generally accepted in the United States of America, the fund financial statements for governmental funds would use the modified accrual basis of accounting. All government-wide financials would be presented in accordance with the accrual basis of accounting.

E. **Measurement Focus:**

1. **Government-wide financial statements:** The Statement of Net Position and Statement of Activities are prepared using the total economic resources measurement focus within the limitations of the modified cash basis of accounting, as defined above. Accordingly, the District's capital assets and long-term debt are included in the Statement of Net Position.
2. **Fund financial statements:** The Balance Sheet and Statement of Revenues, Expenditures, and Changes in Fund Balances are prepared using the current financial resources measurement focus within the limitations of the modified cash basis of accounting, as defined above. Accordingly, only current assets are shown in the Balance Sheet.

CONSOLIDATED SCHOOL DISTRICT NO. IV OF JACKSON COUNTY, MO

NOTES TO THE BASIC FINANCIAL STATEMENTS

1. **SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued):**

F. Pooled Cash and Temporary Investments: The District maintains a cash and temporary investment pool that is available for use by all funds except the Debt Service Fund. State law requires that all deposits in the Debt Service Fund be kept separate and apart from all other funds of the District. Interest income is allocated to the various funds according to each fund's share of the pool.

G. Capital Assets: In the government-wide financial statements, capital assets are accounted for as assets in the Statement of Net Position. All capital assets are valued at historical cost, or estimated historical cost if actual is unavailable, except for donated capital assets which are recorded at their estimated fair value at the date of donation. A capitalization threshold of \$10,000 is used to report capital assets, which are depreciated using the straight-line method over the following estimated useful lives:

Buildings and improvements	20 – 50 years
Vehicles	8 – 10 years
Computers, furniture, and equipment	5 – 15 years

In the fund financial statements, capital assets are accounted for as capital outlays upon acquisition.

H. Right to Use Assets: A right to use asset represents a lessee's right to use an asset, typically property or equipment, over the duration of a lease term. In the government-wide financial statements, right to use assets are accounted for as assets in the Statement of Net Position. All right to use assets are valued based on the associated terms of the finance lease agreement. A capitalization threshold of \$10,000 is used to report right to use assets, which are amortized using the amortization schedule of the associated finance lease agreement. At June 30, 2025, there were no material right to use assets.

In the fund financial statements, finance lease principal and interest payments are accounted for as expended.

I. Payroll Related Expenditures: The salary payment schedule of the District allows for the payment of salaries over a twelve-month period. Consequently, the July 2025, payroll checks, written and dated in June 2025, are included in the financial statements as an expenditure paid in the year ended June 30, 2025. This practice has been consistently followed in the previous years.

J. Compensated Absences: Personal business days and sick leave are considered as expenditures in the year paid. Such days unused may accumulate. Under the terms of the District's personnel policy, employees are granted sick leave in varying amounts based on certificated status and years of service.

K. Net Position: Net position in the government-wide financial statements represents the difference between assets and liabilities, and is reported in three categories:

1. Net investment in capital assets consists of net capital assets, including restricted capital assets, net of accumulated depreciation and reduced by the outstanding balance of any related debt that is attributable to the acquisition, construction, or improvement of those assets.
2. Restricted net position consists of net position with use constrained to a particular purpose. Restrictions are imposed by external organizations such as federal or state laws or bond covenants. Restricted net position is reduced by liabilities related to the restricted assets.
3. Unrestricted net position consists of all other net position that does not meet the definition of the above two components and is available for general use by the District.

CONSOLIDATED SCHOOL DISTRICT NO. IV OF JACKSON COUNTY, MO

NOTES TO THE BASIC FINANCIAL STATEMENTS

1. **SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued):**

K. Net Position (continued):

The District first applies restricted resources when an expense is incurred for purposes for which both restricted and unrestricted net position are available.

L. Fund Balances: The fund financial statements present fund balances by classification based on the extent to which the District is bound to honor constraints on the specific purposes for which the funds may be spent. The following classifications are used to describe the relative strength of these constraints:

1. Nonspendable – amounts that are either not in spendable form or legally or contractually required to be maintained intact.
2. Restricted – amounts constrained to specific uses by external groups such as creditors, grantors, or contributors; or by laws and regulations of other governments.
3. Committed – amounts constrained to specific uses by the District itself, using its highest level of decision making authority, the District's Board of Education. Commitments may be established, modified, or rescinded only through resolutions passed by the District's Board of Education.
4. Assigned – amounts that do not meet the criteria to be classified as restricted or committed but that the District intends to use for a specific purpose. For all funds other than the General Fund, this includes any remaining funds not otherwise classified, as they are assigned to the purposes for which the fund was established. For the General Fund, the assignment can result from intent expressed by the District's Board of Education, or by District administrators to which the Board of Education delegates the authority.
5. Unassigned – amounts that are available for any purpose. Positive amounts are reported in only the General Fund. Negative unassigned fund balances are reported for all other governmental funds where the nonspendable, restricted, and committed fund balances exceed the total fund balance.

When an expenditure is incurred for purposes for which both restricted and unrestricted fund balances are available, the District applies restricted funds first. When an expenditure is incurred for which committed, assigned, and/or unassigned fund balances are available, the District first applies committed funds, then assigned funds, and finally unassigned funds, as needed.

M. Use of Estimates: The preparation of financial statements in conformity with the modified cash basis of accounting requires management to make estimates and assumptions that affect the amounts reported in these financial statements and accompanying notes. Actual results could differ from these estimates. The most significant estimate on the modified cash basis reporting is depreciation expense in the government-wide financial statements.

N. Nonexchange Transactions: Nonexchange transactions, transactions in which the District receives value without directly giving equal value in return, include property taxes, grants, entitlements and donations.

CONSOLIDATED SCHOOL DISTRICT NO. IV OF JACKSON COUNTY, MO

NOTES TO THE BASIC FINANCIAL STATEMENTS

1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued):

O. Budgetary Accounting: The District follows these procedures in establishing the budgetary data reflected in the financial statements:

1. In accordance with Chapter 67, RSMo, the District adopts a budget for each fund.
2. Prior to July, the superintendent, who serves as the budget officer, submits to the Board of Education a proposed budget for the fiscal year beginning on the following July 1. The proposed budget includes estimated revenues and proposed expenditures for all District funds. Budgeted expenditures cannot exceed beginning available monies plus estimated revenues for the year.
3. A public hearing is conducted to obtain taxpayers' comments. Prior to its approval by the Board of Education, the budget document is available for public inspection.
4. Prior to July 1, the budget is legally enacted by a vote of the Board of Education.
5. Subsequent to its final approval of the budget, the Board of Education has the authority to make necessary adjustments to the budget by formal vote of the board. Adjustments made during the year are reflected in the budget information included in the financial statements.
6. Budgets for District funds are prepared and adopted using the cash basis of accounting (budget basis). The budgetary comparison schedules' actual columns are presented on the modified cash basis of accounting described in item (D.) above which is substantially the same as the cash basis of accounting.

P. Program Revenues: Amounts reported as program revenues include 1) charges to students or others for goods, services, or privileges provided; 2) operating grants and contributions; and 3) capital grants and contributions. All other governmental receipts are reported as general receipts. All taxes are classified as general receipts even if restricted for a specific purpose.

Q. Leases and Subscription-Based Information Technology Arrangements: Beginning with fiscal year 2022, the District implemented Governmental Accounting Standards Board (GASB) Statement No. 87, *Leases*. GASB Statement No. 87 enhances the relevance and consistency of information of the government's leasing activities. It establishes requirements for lease accounting based on the principle that leases are financings of the right to use an underlying asset. A lessee is required to recognize a lease liability and an intangible right to use lease asset, and a lessor is required to recognize a lease receivable and a deferred inflow of resources. At June 30, 2025, there were no material finance leases for right to use assets.

Beginning with fiscal year 2023, the District implemented Governmental Accounting Standards Board (GASB) Statement No. 96, *Subscription-Based Information Technology Arrangements (SBITA)*. GASB Statement No. 96 defined a SBITA as a contract that conveys control of the right to use another party's (a SBITA vendor's) information technology (IT) software, alone or in combination with tangible capital assets (the underlying IT assets), as specified in the contract for a period of time in an exchange or exchange-like transaction. Under this Statement, a government generally should recognize a right to use subscription asset—an intangible asset—and a corresponding subscription liability. At June 30, 2025, there were no material SBITAs.

CONSOLIDATED SCHOOL DISTRICT NO. IV OF JACKSON COUNTY, MO

NOTES TO THE BASIC FINANCIAL STATEMENTS

1. **SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued):**

- R. Change in Accounting Principles: The District adopted GASB 101, Compensated Absences, on July 1, 2024, for the June 30, 2025, reporting year. GASB 101 outlines the definition of compensated absences and sets forth the accounting and financial reporting for compensated absence liabilities. GASB 101 outlines that leave accrued should be measured using the employees pay rate at the financial statement date and that certain salary related payments, such as Social Security and Medicare, should be included in such a measurement. As of June 30, 2025, the value of unpaid compensated absences totaled \$1,474,107, which was a net increase of \$71,882 from the prior year. The compensated absence liability is not recognized in the modified cash basis financial statements.

2. **RETIREMENT PLAN:**

- A. Summary of Significant Accounting Policies: The District participates in the Public School Retirement System and the Public Education Employee Retirement System (PSRS and PEERS, also referred to as the Systems). The financial statements of the District were prepared using the modified cash basis of accounting. Therefore, member and employer contributions are recognized when paid and the District's net pension liability, deferred outflows and inflows of resources related to pensions are not recorded in these financial statements.
- B. Plan Description: PSRS is a mandatory cost-sharing multiple employer retirement system for all full-time certificated employees and certain part-time certificated employees of all public school districts in Missouri (except the school districts of St. Louis and Kansas City) and all public community colleges. PSRS also includes certificated employees of the Systems, Missouri State Teachers' Association, Missouri State High School Activities Association, and certain employees of the State of Missouri who elected to remain covered by PSRS under legislation enacted in 1986, 1987 and 1989. The majority of PSRS members are exempt from Social Security contributions. In some instances, positions may be determined not to be exempt from Social Security contributions. Any PSRS member who is required to contribute to Social Security comes under the requirements of Section 169.070 (9) RSMo, known as the "two-thirds statute." PSRS members required to contribute to Social Security are required to contribute two-thirds of the approved PSRS contribution rate and their employer is required to match the contribution. The members' benefits are further calculated at two-thirds the normal benefit amount.

PEERS is a mandatory cost-sharing multiple employer retirement system for all non-certificated public school district employees (except the school districts of St. Louis and Kansas City), employees of the Missouri Association of School Administrators, and community college employees (except the Community College of St. Louis). Employees of covered districts who work 20 or more hours per week on a regular basis and who are not contributing members of PSRS must contribute to PEERS. Employees of the Systems who do not hold Missouri educator certificates also contribute to PEERS. PEERS was established as a trust fund by an Act of the Missouri General Assembly effective October 13, 1965. Statutes governing the System are found in Sections 169.600 - 169.715 and Sections 169.560 - 169.595 RSMo. The statutes place responsibility for the operation of PEERS on the Board of Trustees of PSRS.

- C. Benefits Provided: PSRS is a defined benefit plan providing retirement, disability, and death/survivor benefits. Members are vested for service retirement benefits after accruing five years of service. Individuals who (a) are at least age 60 and have a minimum of 5 years of service, (b) have 30 years of service, or (c) qualify for benefits under the "Rule of 80" (service and age total at least 80) are entitled to a monthly benefit for life, which is calculated using a 2.5% benefit factor. Members who retire with 32 or more years of service will have their benefit calculated using a 2.55% benefit factor. Actuarially age-reduced benefits are available for members with five to 24.9 years of service at age 55.

CONSOLIDATED SCHOOL DISTRICT NO. IV OF JACKSON COUNTY, MO

NOTES TO THE BASIC FINANCIAL STATEMENTS

2. **RETIREMENT PLAN (continued):**

- C. Benefits Provided (continued): Members who are younger than age 55 and who do not qualify under the "Rule of 80" but have between 25 and 29.9 years of service may retire with a lesser benefit factor. Members that are three years beyond normal retirement can elect to have their lifetime monthly benefits actuarially reduced in exchange for the right to also receive a one-time partial lump sum (PLSO) payment at retirement equal to 12, 24, or 36 times the Single Life benefit amount.

PEERS is a defined benefit plan providing retirement, disability and death benefits to its members. Members are vested for service retirement benefits after accruing five years of service. Individuals who (a) are at least age 60 and have a minimum of five years of service, (b) have 30 years of service, or (c) qualify for benefits under the "Rule of 80" (service and age total at least 80) are entitled to a monthly benefit for life, which is calculated using a 1.61% benefit factor. Members qualifying for "Rule of 80" or "30-and-out" are entitled to an additional temporary benefit until reaching minimum Social Security age (currently age 62), which is calculated using a 0.8% benefit factor. Actuarially age-reduced retirement benefits are available with 5 to 24.9 years of service at age 55. Members who are younger than age 55 and who do not qualify under the "Rule of 80" but have between 25 and 29.9 years of service may retire with a lesser benefit factor. Members that are three years beyond normal retirement can elect to have their lifetime monthly benefits actuarially reduced in exchange for the right to also receive a one-time partial lump sum (PLSO) payment at retirement equal to 12, 24, or 36 times the Single Life benefit amount.

Summary Plan Descriptions detailing the provisions of the plans can be found on the Systems' website at www.psrs-peers.org.

- D. Cost-of-Living Adjustments ("COLA"): The Board of Trustees has established a policy of providing COLAs to both PSRS and PEERS members as follows; if the June to June change in the Consumer Price Index for All Urban Consumers (CPI-U) is less than 2% for one or more consecutive one-year periods, a cost-of-living increase of 2% will be granted when the cumulative increase is equal to or greater than 2%, at which point the cumulative increase in the CPI-U will be reset to zero. For the following year, the starting CPI-U will be based on the June value immediately preceding the January 1 at which the 2% cost-of-living increase is granted. If the June to June change in the CPI-U is greater than or equal to 2%, but less than 5%, a cost-of-living increase of 2% will be granted. If the June to June change in the CPI-U is greater than or equal to 5%, a cost-of-living increase of 5% will be granted. If the CPI decreases, no COLA is provided.

For any PSRS member retiring on or after July 1, 2001, such adjustments commence on the second January after commencement of benefits and occur annually thereafter. For PEERS members, such adjustments commence on the fourth January after commencement of benefits and occur annually thereafter. The total of such increases may not exceed 80% of the original benefit for any member.

- E. Contributions: PSRS members were required to contribute 14.5% of their annual covered salary during fiscal years 2023, 2024 and 2025. Employers were required to match the contributions made by employees. The contribution rate is set each year by the PSRS Board of Trustees upon the recommendation of the independent actuary within the contribution restrictions set in Section 169.030 RSMo. The annual statutory increase in the total contribution rate may not exceed 1% of pay.

The District's contributions to PSRS were \$3,929,724; \$3,889,455; and \$3,875,803 respectively, for the fiscal years ended June 30, 2023, 2024, and 2025.

CONSOLIDATED SCHOOL DISTRICT NO. IV OF JACKSON COUNTY, MO

NOTES TO THE BASIC FINANCIAL STATEMENTS

2. **RETIREMENT PLAN (continued):**

- E. Contributions (continued): PEERS members were required to contribute 6.86% of their annual covered salary during fiscal years 2023, 2024 and 2025. Employers were required to match the contributions made by employees. The contribution rate is set each year by the PSRS Board of Trustees upon the recommendation of the independent actuary within the contribution restrictions set in Section 169.030 RSMo. The annual statutory increase in the total contribution rate may not exceed 0.5% of pay.

The District's contributions to PEERS were \$628,780; \$666,899; and \$715,156 respectively, for the fiscal years ended June 30, 2023, 2024, and 2025.

3. **CASH:**

State statutes require the District's deposits be insured or collateralized in the name of the District by the trust department of a bank that does not hold the collateralized deposits. As of June 30, 2025, all bank balances on deposit are entirely insured or collateralized with securities. Furthermore, the District has no foreign currency risk.

Cash and investments held in the Debt Service Fund in the amount of \$10,483,453 are restricted for debt service payments as described in Note 7 below. Cash held in the Capital Projects Fund includes \$42,616,043 in unspent bond proceeds restricted for capital assets expenditures. Cash held in the General Fund in the amount of \$62,333 is restricted for the employee wellness programs.

4. **INVESTMENTS:**

The District's investments at June 30, 2025, consisted of the following:

<u>Investment Type</u>	<u>Maturity</u>	<u>Balance</u>
Pro-rata shares of investment contracts with a financial institution	N/A	\$ 1,721,122
Investment contracts with a financial institution	N/A	83,824,105
		<u>\$ 85,545,227</u>

- A. Interest Rate Risk: As a means of limiting its exposure to fair value losses arising from rising interest rates, the District's investment policy mandates structuring the investment portfolio so that investments mature to meet cash requirements for ongoing operations thereby avoiding the need to sell investments on the open market prior to maturity.
- B. Investment Contracts with a Financial Institution: The District has funds on deposit with a financial institution which are invested in investment contracts with credit providers whose unsecured long-term debt is rated at the time of such agreement in either of the two highest rating categories by a nationally recognized rating service in accordance with Section 165.051 and 360 of the Missouri Revised Statutes through the Missouri School District Direct Deposit Program. Each District investing in the program owns a pro-rata share of each investment which is held in the name of the fund. Fair market value approximates cost as the District has a pro-rata share of the fund.
- C. Investment Contracts with a Financial Institution: The District has funds on deposit with a financial institution which are invested in investment contracts with credit providers whose unsecured long-term debt is rated at the time of such agreement in either of the two highest rating categories by a nationally recognized rating service in accordance with Section 165.051 of the Missouri Revised Statutes through the Missouri School District Direct Deposit Program. Each District investing in the program owns a pro-rata share of each investment which is held in the name of the fund. Fair market value approximates cost as the District has a pro-rata share of the fund.

CONSOLIDATED SCHOOL DISTRICT NO. IV OF JACKSON COUNTY, MO

NOTES TO THE BASIC FINANCIAL STATEMENTS

5. CAPITAL ASSETS:

Capital assets activity for the year ended June 30, 2025, is as follows:

	Balance June 30, 2024	Additions	Deletions	Balance June 30, 2025
Capital assets not depreciated:				
Land	\$ 145,000	\$ -	\$ -	\$ 145,000
Construction in progress	\$ 13,125,741	355,978	(13,125,741)	355,978
Capital assets being depreciated:				
Buildings and improvements	125,763,395	22,527,976	-	148,291,371
Vehicles	4,136,941	851,630	(129,400)	4,859,171
Equipment	25,508,738	1,097,930	-	26,606,668
	<u>168,679,815</u>	<u>24,833,514</u>	<u>(13,255,141)</u>	<u>180,258,188</u>
Less: accumulated depreciation	<u>71,243,402</u>	<u>3,332,863</u>	<u>(122,767)</u>	<u>74,453,498</u>
Net capital assets	<u>\$ 97,436,413</u>	<u>\$ 21,500,651</u>	<u>\$ (13,132,374)</u>	<u>\$ 105,804,690</u>

Included in the amount above is \$14,881,037 of capital assets purchased under a finance lease. Accumulated depreciation on the capital assets purchased under a finance lease was \$2,962,988 on June 30, 2025.

In the Statement of Activities, depreciation expense was charged to functions of the governmental funds as follows:

Instruction services	\$ 2,779,666
Supporting services:	
Transportation	<u>553,197</u>
	<u>\$ 3,332,863</u>

6. TAXES:

The county in which the District is located collects property tax and remits it to the District. The District also receives sales tax collected by the state which is remitted based on eligible pupils.

Property taxes attach as an enforceable lien on property as of January 1. Taxes are levied on November 1, and are payable by December 31. All unpaid taxes become delinquent January 1 of the following year. The assessed valuation of the tangible taxable property for the calendar year 2024 for purposes of local taxation was as follows:

Real Estate:	
Residential	\$ 476,299,627
Agricultural	1,140,503
Commercial	171,724,042
Personal Property	<u>142,522,537</u>
	<u>\$ 791,686,709</u>

CONSOLIDATED SCHOOL DISTRICT NO. IV OF JACKSON COUNTY, MO

NOTES TO THE BASIC FINANCIAL STATEMENTS

6. **TAXES (continued):**

The tax levy per \$100 of assessed valuation of tangible taxable property for the calendar year 2024 for purposes of local taxation was as follows:

<u>Fund</u>	<u>Unadjusted</u>	<u>Adjusted</u>
General Fund	\$ 4.3897	\$ 4.3897
Debt Service Fund	1.3666	1.3666
	<u>\$ 5.7563</u>	<u>\$ 5.7563</u>

The receipts of current and delinquent property taxes during the fiscal year ended June 30, 2025, aggregated approximately 98% of the current assessment computed on the basis of the levy as shown above for the calendar year 2024.

7. **BONDS PAYABLE:**

The following is a summary of bond transactions for the year ended June 30, 2025:

Bonds payable, July 1, 2024	\$ 46,133,336
Bonds issued:	
Series 2024 General Obligation Bond	13,500,000
Series 2025 General Obligation Bond	37,305,000
Bonds retired:	
Series 2024 General Obligation Bond	(3,400,000)
Series 2021 General Obligation Bond	(2,500,000)
Series 2022 General Obligation Bond	(950,000)
Series 2019 General Obligation Bond	(800,000)
Series 2010 Qualified School Construction Bonds	(204,157)
Series 2010B Qualified Zone Academy Bonds	(129,179)
Series 2012A Qualified Zone Academy Bonds	<u>(1,100,000)</u>
Bonds payable, June 30, 2025	<u>\$ 87,855,000</u>

CONSOLIDATED SCHOOL DISTRICT NO. IV OF JACKSON COUNTY, MO

NOTES TO THE BASIC FINANCIAL STATEMENTS

7. BONDS PAYABLE (continued):

Bonds payable at June 30, 2025, consisted of the following:

\$7,100,000 Series 2021 General Obligation Bonds issued December 9, 2021, for the purpose of completing renovation, remodeling and repair improvements to the existing facilities of the District; due in annual installments of \$300,000 to \$2,500,000 beginning March 1, 2023, through March 1, 2030; with interest payable semi-annually beginning September 1, 2022, through March 1, 2030, at the rate of 4.00%. \$ 4,600,000

\$35,100,000 Series 2022 General Obligation Bonds issued June 7, 2022, for the purpose of completing renovation, remodeling and repair improvements to the existing facilities of the District; due in annual installments of \$350,000 to \$3,950,000 beginning March 1, 2024 through March 1, 2039; with interest payable semi-annually beginning September 1, 2022, through March 1, 2039, at rates varying from 4.00% to 5.00%. 33,650,000

\$13,500,000 Series 2024 General Obligation Bonds issued June 7, 2022, for the purpose of completing renovation, remodeling and repair improvements to the existing facilities of the District; due in an initial annual installment of \$3,400,000 on March 1, 2025, and five annual installments from through March 1, 2040 to March 1, 2044; with interest payable semi-annually beginning March 1, 2025, through March 1, 2044, at rates varying from 5.75% to 6.00%. 10,100,000

\$37,305,000 Series 2022 General Obligation Bonds issued May 20, 2025, for the purpose of completing renovation, remodeling and repair improvements to the existing facilities of the District and to advance refund \$800,000 of the Series 2019 General Obligation Bonds; due in annual installments of \$780,000 to \$6,260,000 beginning March 1, 2026 through March 1, 2045; with interest payable semi-annually beginning September 1, 2025, through March 1, 2045, at rates varying from 5.00% to 6.00%. 37,305,000

Qualified Zone Academy Bonds (QZAB), issued as listed below, all at an effective interest rate of zero as the District is reimbursed for all interest paid by the federal government (see note below on reduced subsidies):

\$5,500,000 Series 2012A, due March 1, 2027 2,200,000

Total bonds payable at June 30, 2025 \$87,855,000

Bond requirements for the next five years and in five-year increments thereafter are as follows:

Year Ended June 30,	Principal	Interest	Total
2026	\$ 6,980,000	\$ 3,757,565	\$ 10,737,565
2027	8,250,000	4,262,213	12,512,213
2028	2,695,000	3,858,213	6,553,213
2029	3,405,000	3,734,513	7,139,513
2030	4,260,000	3,569,713	7,829,713
2031-2035	20,500,000	14,585,425	35,085,425
2036-2040	19,135,000	9,534,800	28,669,800
2041-2045	<u>22,630,000</u>	<u>4,382,938</u>	<u>27,012,938</u>
Total bonds outstanding	<u>\$ 87,855,000</u>	<u>\$ 47,685,380</u>	<u>\$ 135,540,380</u>

CONSOLIDATED SCHOOL DISTRICT NO. IV OF JACKSON COUNTY, MO

NOTES TO THE BASIC FINANCIAL STATEMENTS

7. BONDS PAYABLE (continued):

The interest subsidy received for the QZAB Series 2010B and Series 2012A bonds was \$139,001 of the total \$262,814 total of the interest due on the bonds.

Principal and interest on general obligation bonds is liquidated through the Debt Service Fund. In the fund financial statements, bond principal and interest payments are accounted for as expensed.

Article VI, Section 26 (b), Constitution of Missouri, limits the outstanding amount of authorized general obligation debt of a school district to 15% of the assessed valuation of the district. The legal debt margin (excluding state-assessed railroad and utility) of the District at June 30, 2025, was:

Constitutional debt limit	\$ 118,753,226
Amount in Debt Service Fund available for payment of principal	10,483,453
General obligation bonds payable	(87,855,000)
Legal debt margin	<u>\$ 41,381,679</u>

The District has elected to participate in the program created by Senate Bill 301 administered by the Missouri Health and Educational Facilities Authority (MOHEFA), which allows the District an enhanced bond rating as well as having certain costs of issuance reimbursed. As a result of participating in this program, the District has executed a direct deposit agreement whereby a portion of state aid payments will be made to the direct deposit trustee who will then make the principal and interest payments on the bonds. This amount is included as investments in the Debt Service Fund.

At June 30, 2025, the District had the following balances in bond deposit escrow accounts:

Debt Service Fund:	
Series 2012A Qualified Zone Academy Bonds	\$ 533,500
Series 2019 General Obligation Bonds	12,001
Series 2021 General Obligation Bonds	423,600
Series 2024 General Obligation Bonds	232,300
Series 2025 General Obligation Bonds	519,721
Total balances in Debt Service Fund	<u>\$ 1,721,122</u>

The District renewed a \$7,000,000 tax anticipation notes line of credit with a bank, bearing interest at the Wall Street Journal Prime Rate, adjusted daily only for the days borrowed and only on the amount borrowed. The District has not drawn any funds on the line of credit and the balance at June 30, 2025, was \$0.

8. FINANCE LEASES:

The following is a summary of finance lease transactions for the year ended June 30, 2025:

Finance leases payable, June 30, 2024	\$ 12,275,689
Finance lease additions	1,058,580
Principal payments	(754,498)
Finance leases payable, June 30, 2025	<u>\$ 12,579,771</u>

CONSOLIDATED SCHOOL DISTRICT NO. IV OF JACKSON COUNTY, MO

NOTES TO THE BASIC FINANCIAL STATEMENTS

8. FINANCE LEASES (continued):

Finance leases payable at June 30, 2025, consisted of the following:

The District entered into a finance lease agreement on June 8, 2020, for the purchase of two buses. The lease is due in annual installments of \$22,380, commencing on June 8, 2020, bearing interest at 3.3%, maturing on June 8, 2025.

The District entered into a finance lease agreement on July 23, 2020, for the purchase of two buses. The lease is due in annual installments of \$17,687, commencing on June 8, 2020, bearing interest at 3.3%, maturing on July 23, 2025.

The District entered into a finance lease agreement on July 23, 2020, for the purchase of two buses. The lease is due in annual installments of \$25,087, commencing on June 8, 2020, bearing interest at 3.3%, maturing on July 23, 2025. One of the buses was totaled and an insurance payment of \$50,174 was paid to the leasing company. At this time, the company re-amortized the remaining balance requiring an annual payment of \$12,543 through July 2025.

The District entered into a finance lease agreement on September 15, 2020, for the purchase of a bus. The lease is due in annual installments of \$12,297, commencing on June 8, 2020, bearing interest at 5.0%, maturing on September 15, 2025.

The District entered into a finance lease agreement on September 9, 2021, for the purchase of a bus. The lease is due in annual installments of \$17,443, commencing on December 15, 2021, bearing interest at 4.1%, maturing on December 15, 2026.

The District entered into a finance lease agreement on January 28, 2022, for the purchase of a bus. The lease is due in annual installments of \$11,250, commencing on February 20, 2022, bearing interest at 4.4%, maturing on February 20, 2026.

The District entered into a finance lease agreement on August 1, 2021, for energy saving improvements to District buildings. The lease is due in varying quarterly installments of \$164,570 to \$279,528, commencing on September 1, 2022, bearing interest at 3.75%, maturing on June 1, 2041.

The District entered into a finance lease agreement on April 21, 2023, for Macbooks. The lease is due in annual installments of \$285,633, commencing on July 5, 2023, bearing no interest, maturing on July 5, 2025.

The District entered into a finance lease agreement on June 25, 2025, for Macbooks. The lease is due in annual installments of \$264,645, commencing on July 15, 2025, bearing no interest, maturing on July 5, 2028.

CONSOLIDATED SCHOOL DISTRICT NO. IV OF JACKSON COUNTY, MO

NOTES TO THE BASIC FINANCIAL STATEMENTS

8. FINANCE LEASES (continued):

Minimum future payments under these finance leases are as follows:

Year Ended June 30,	Principal	Interest	Total
2026	\$ 1,013,262	\$ 437,986	\$ 1,451,248
2027	724,625	419,834	1,144,459
2028	746,459	401,373	1,147,832
2029	725,033	383,101	1,108,134
2030	501,086	34,022	535,108
2031-2035	3,209,421	1,518,972	4,728,393
2036-2040	4,572,187	847,908	5,420,095
2041	1,087,698	92,151	1,179,849
Total	<u>\$ 12,579,771</u>	<u>\$ 4,135,347</u>	<u>\$ 16,715,118</u>

Principal and interest payments on finance leases are liquidated through the Capital Projects Fund. In the fund financial statements, finance lease principal and interest payments are accounted for as expensed.

9. INTERFUND TRANSFERS:

The following is a summary of transfers for the year ended June 30, 2025:

TRANSFER FROM	TRANSFER TO	
General Fund	Special Revenue Fund	Capital Projects Fund
\$ 18,534,951	\$ 18,534,951	\$ -

The District is required to transfer sufficient funds from the General Fund to the Special Revenue Fund to cover the excess of disbursements over revenues in accordance with state statutes. The District is also allowed to make transfers to the Capital Projects fund to cover allowable expenditures.

10. COMMITMENTS AND CONTINGENCIES:

The District received financial assistance from federal and state agencies in the form of grants. The disbursement of funds received under these programs generally require compliance with terms and conditions specified in the grant agreements and are subject to audit by the grantor agencies. Any disallowed claims resulting from such audits could become a liability of the general fund or other applicable funds. However, in the opinion of management, any such disallowed claims will not have a material adverse effect on the overall financial position of the District at June 30, 2025.

11. POST-RETIREMENT BENEFITS OTHER THAN PENSIONS:

The District offers post-retirement healthcare benefits to all employees who retire from the District. Retirees and their dependents may obtain coverage by paying required premium rates. The District does not pay any portion of the required premium for retirees; however, the premiums paid by the District for active employees are based on combined active and retiree experience, so an implicit subsidy exists. Under the District's modified cash basis of accounting, no liability for this subsidy is included in the financial statements.

12. RISK MANAGEMENT:

The District is exposed to various risks of loss to torts; theft of, damage to, and destruction of assets; errors or omissions; injuries to employees; and natural disasters for which the District purchases commercial insurance.

CONSOLIDATED SCHOOL DISTRICT NO. IV OF JACKSON COUNTY, MO

NOTES TO THE BASIC FINANCIAL STATEMENTS

13. **TAX ABATEMENTS:**

The District is subject to multiple tax abatements. These abatements may fall under any of the three following programs:

- A. Tax Increment Financing: Under Missouri Revised Statute (RSMo.) Section 099.0845, a municipality, at the time a redevelopment project is approved, may adopt tax increment allocation financing by passing an ordinance providing that after the total equalized assessed valuation of the taxable real property in a redevelopment project exceeds the certified total initial equalized assessed valuation of the taxable real property in the redevelopment project, the ad valorem taxes, and payments in lieu of taxes, if any, arising from the levies upon taxable real property in such redevelopment project by taxing districts and tax rates determined each year after the effective date of the ordinance until redevelopment costs have been paid. The District, although not entering any relations under this section, is subject to multiple arrangements entered by municipalities.
- B. RSMo. Chapter 353 Tax Abatement: Under RSMo. Chapter 353, tax abatements are made available for Urban Redevelopment Corporations for redevelopment of areas determined to be blighted by a municipality. The District, although not entering any relationships under this chapter, is subject to multiple arrangements entered by municipalities.
- C. Enterprise Zones: Under RSMo. Sections 135.950 through 135.973, tax abatements are eligible for enterprise zones as identified by municipalities and certified by the Missouri Department of Economic Development. The District, although not entering any relationships under this section, is subject to multiple arrangements entered by municipalities.

The District's total assessed valuation and property tax abated for the fiscal year ended June 30, 2025, is as follows:

Valuation	Abated
\$ 4,515,122	\$ 259,904

14. **PRIOR PERIOD ADJUSTMENT:**

During the audit for the year ended June 30, 2025, it was determined the beginning fund balances were misstated due to the District changing transactions from the prior year. As a result, the General Fund beginning fund balance was decreased by \$1,666,525 and the Capital Projects Fund beginning fund balance was increased by \$1,666,525. The net effect on the government-wide financial statements is \$0.

15. **SCHOOL RESOURCE OFFICER:**

For the fiscal year ended June 30, 2025, the District was party to an intergovernmental agreement with regard to the District's school resource officer services. Per their agreement, the District is to pay the vendor \$8,917 per specialist, 1/12th of the agreement, on a monthly basis. Payments for these services are paid to the vendor. Payments made during the fiscal year ended June 30, 2025, totaled \$415,584. This includes \$48,444 paid to a prior vendor in regard to the District's school resource officer services from the prior year.

16. **SUBSEQUENT EVENT:**

On November 20, 2025, the board adopted a resolution to issue General Obligation Refunding Bonds, Series 2025B, providing for the refunding of \$3,725,000 of the Refunded Series 2021 Bonds. These bonds are expected to be sold prior to December 31, 2025.

17. **DATE OF MANAGEMENT'S REVIEW:**

Subsequent events were evaluated through December 11, 2025, which is the date the financial statements were available to be issued.



210 W. Ohio
Butler, MO 64730
Phone: 660.679.6571
Fax: 660.679.6575

1626 Hedges Plaza
Nevada, MO 64772
Phone: 417.667.6375
Fax: 417.667.6420

1118 Remington Plaza, Suite A
Raymore, MO 64083
Phone: 816.331.4242
Fax: 816.322.4646

INDEPENDENT AUDITORS' REPORT ON INTERNAL CONTROL OVER FINANCIAL REPORTING AND ON COMPLIANCE AND OTHER MATTERS BASED ON AN AUDIT OF FINANCIAL STATEMENTS PERFORMED IN ACCORDANCE WITH GOVERNMENT AUDITING STANDARDS

To the Board of Education
Consolidated School District No. IV of Jackson County, Missouri
Grandview, Missouri

We have audited, in accordance with the auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States, the financial statements of the governmental activities and each major fund of the District, as of and for the fiscal year ended June 30, 2025, and the related notes to the financial statements, which collectively comprise the District's basic financial statements and have issued our report thereon dated December 11, 2025.

Report on Internal Control over Financial Reporting

In planning and performing our audit of the financial statements, we considered the District's internal control over financial reporting (internal control) as a basis for designing audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of the District's internal control. Accordingly, we do not express an opinion on the effectiveness of the District's internal control.

A *deficiency in internal control* exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, misstatements on a timely basis. A *material weakness* is a deficiency, or a combination of deficiencies, in internal control, such that there is a reasonable possibility that a material misstatement of the entity's financial statements will not be prevented, or detected and corrected, on a timely basis. A *significant deficiency* is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies. Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses. However, material weaknesses or significant deficiencies may exist that were not identified.

Report on Compliance and Other Matters

As part of obtaining reasonable assurance about whether the District's financial statements are free from material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements, noncompliance with which could have a direct and material effect on the financial statements. However, providing an opinion on compliance with those provisions was not an objective of our audit, and accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*.

Purpose of This Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the entity's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the entity's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

DSWA Certified Public Accountants, P.C.

Raymore, Missouri
December 11, 2025

CONSOLIDATED SCHOOL DISTRICT NO. IV OF JACKSON COUNTY, MO

**SCHEDULE OF CURRENT YEAR FINDINGS AND RESPONSES TO THE INDEPENDENT AUDITORS'
REPORT ON INTERNAL CONTROL OVER FINANCIAL REPORTING AND ON COMPLIANCE AND
OTHER MATTERS BASED ON AN AUDIT OF FINANCIAL STATEMENTS PERFORMED IN
ACCORDANCE WITH *GOVERNMENT AUDITING STANDARDS***

FOR THE YEAR ENDED JUNE 30, 2025

Internal Control Over Financial Reporting

None

Compliance

None

CONSOLIDATED SCHOOL DISTRICT NO. IV OF JACKSON COUNTY, MO

**SCHEDULE OF PRIOR YEAR FINDINGS AND RESPONSES TO THE INDEPENDENT AUDITORS'
REPORT ON INTERNAL CONTROL OVER FINANCIAL REPORTING AND ON COMPLIANCE AND
OTHER MATTERS BASED ON AN AUDIT OF FINANCIAL STATEMENTS PERFORMED IN
ACCORDANCE WITH *GOVERNMENT AUDITING STANDARDS***

FOR THE YEAR ENDED JUNE 30, 2025

Internal Control Over Financial Reporting

None

Compliance

None

CONSOLIDATED SCHOOL DISTRICT NO. IV OF JACKSON COUNTY, MISSOURI
STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES
MODIFIED CASH BASIS - BUDGET AND ACTUAL - GENERAL FUND
FOR THE YEAR ENDED JUNE 30, 2025

	Budgeted Amounts		Actual	Variance with
	Original	Final	Amounts	Final Budget -
				Positive
				(Negative)
Revenues				
Local	\$ 37,407,728	\$ 38,216,324	\$ 38,216,324	\$ -
County	697,119	704,857	704,857	-
State	3,058,674	4,974,914	4,974,914	-
Federal	6,062,397	11,331,248	11,331,248	-
Other	180,000	-	-	-
Total revenues	47,405,918	55,227,343	55,227,343	-
Expenditures				
Instructional services				
Regular	3,261,028	3,310,387	3,310,387	-
Special	3,610,650	2,868,656	2,868,656	-
Vocational	17,579	47,024	47,024	-
Student activities	868,054	552,747	552,747	-
Payments to other districts	10,000	-	-	-
Supporting services				
Students	2,020,039	3,496,202	3,496,202	-
Instructional staff	1,464,663	1,199,004	1,199,004	-
Building administration	786,225	631,263	631,263	-
General administration	3,669,500	4,463,577	4,463,577	-
Operation and maintenance of facilities	6,964,780	8,098,446	8,098,446	-
Transportation	3,419,268	4,010,844	4,010,844	-
Food service	2,418,417	2,231,531	2,231,531	-
Other services				
Adult basic education	2,607	-	-	-
Community services	1,263,508	1,189,351	1,189,351	-
Total expenditures	29,776,318	32,099,032	32,099,032	-
Excess of revenues over expenditures	17,629,600	23,128,311	23,128,311	-
Other financing sources (uses)				
Net insurance recovery	-	8,757	8,757	-
Sale of other property	-	525	525	-
Transfer out	(20,766,070)	(18,534,951)	(18,534,951)	-
Total other financing sources (uses)	(20,766,070)	(18,525,669)	(18,525,669)	-
Net change in fund balances	(3,136,470)	4,602,642	4,602,642	-
Fund balances - beginning	25,029,510	27,507,593	27,507,593	-
Prior period adjustment (see Note 14)	-	(1,666,525)	(1,666,525)	-
Fund balances - beginning, as restated	25,029,510	25,841,068	25,841,068	-
Fund balances - ending	\$ 21,893,040	\$ 30,443,710	\$ 30,443,710	\$ -

See independent auditors' report and accompanying notes to the financial statements.

CONSOLIDATED SCHOOL DISTRICT NO. IV OF JACKSON COUNTY, MISSOURI
STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES
MODIFIED CASH BASIS - BUDGET AND ACTUAL - SPECIAL REVENUE FUND
FOR THE YEAR ENDED JUNE 30, 2025

	Budgeted Amounts		Actual	Variance with
	Original	Final	Amounts	Final Budget -
				Positive
				(Negative)
Revenues				
Local	\$ 5,525,000	\$ 5,647,925	\$ 5,647,925	\$ -
County	30,000	20,292	20,292	-
State	10,631,939	9,517,439	9,517,439	-
Other	185,000	233,567	233,567	-
Total revenues	16,371,939	15,419,223	15,419,223	-
Expenditures				
Instructional services				
Regular	20,019,021	18,490,692	18,490,692	-
Special	4,815,626	4,995,577	4,995,577	-
Student activities	665,982	622,931	622,931	-
Payments to other districts	1,352,557	1,981,369	1,981,369	-
Supporting services				
Students	2,124,631	1,997,619	1,997,619	-
Instructional staff	1,534,712	1,650,647	1,650,647	-
Building administration	2,174,717	2,017,355	2,017,355	-
General administration	2,433,953	1,929,483	1,929,483	-
Other services				
Community services	440,365	268,501	268,501	-
Total expenditures	35,561,564	33,954,174	33,954,174	-
Excess of revenues (under) expenditures	(19,189,625)	(18,534,951)	(18,534,951)	-
Other financing sources (uses)				
Transfer in	19,189,025	18,534,951	18,534,951	-
Total other financing sources (uses)	19,189,025	18,534,951	18,534,951	-
Net change in fund balances	(600)	-	-	-
Fund balances - beginning	600	600	600	-
Fund balances - ending	\$ -	\$ 600	\$ 600	\$ -

See independent auditors' report and accompanying notes to the financial statements.

**CONSOLIDATED SCHOOL DISTRICT NO. IV OF JACKSON COUNTY, MISSOURI
STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES
MODIFIED CASH BASIS - BUDGET AND ACTUAL - DEBT SERVICE FUND
FOR THE YEAR ENDED JUNE 30, 2025**

	Budgeted Amounts		Actual	Variance with
	Original	Final	Amounts	Final Budget - Positive (Negative)
Revenues				
Local	\$ 12,266,892	\$ 11,584,811	\$ 11,584,811	\$ -
County	507,499	488,538	488,538	-
Federal	369,000	369,737	369,737	-
Total revenues	13,143,391	12,443,086	12,443,086	-
Expenditures				
Other services				
Principal	8,133,333	8,819,628	8,819,628	-
Interest	2,628,181	2,880,707	2,880,707	-
Other	5,000	2,509	2,509	-
Total expenditures	10,766,514	11,702,844	11,702,844	-
Excess of revenues (under) expenditures	2,376,877	740,242	740,242	-
Other financing sources (uses)				
Proceeds from refunding bonds	-	805,000	805,000	-
Total other financing sources (uses)	-	805,000	805,000	-
Net change in fund balances	2,376,877	1,545,242	1,545,242	-
Fund balances - beginning	7,852,166	8,938,211	8,938,211	-
Fund balances - ending	<u>\$ 10,229,043</u>	<u>\$ 10,483,453</u>	<u>\$ 10,483,453</u>	<u>\$ -</u>

See independent auditors' report and accompanying notes to the financial statements.

CONSOLIDATED SCHOOL DISTRICT NO. IV OF JACKSON COUNTY, MISSOURI
STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES
MODIFIED CASH BASIS - BUDGET AND ACTUAL - CAPITAL PROJECTS FUND
FOR THE YEAR ENDED JUNE 30, 2025

	Budgeted Amounts		Actual	Variance with
	Original	Final	Amounts	Final Budget -
				Positive
				(Negative)
Revenues				
Local	\$ 926,686	\$ 7,166,519	\$ 7,166,519	\$ -
State	1,409,927	1,409,927	1,409,927	-
Other	595,400	-	-	-
Total revenues	<u>2,932,013</u>	<u>8,576,446</u>	<u>8,576,446</u>	<u>-</u>
Expenditures				
Instructional services				
Regular	215,396	176,798	176,798	-
Special	-	95	95	-
Vocational	-	193,774	193,774	-
Student activities	-	24,615	24,615	-
Supporting services				
Instructional staff	28,000	-	-	-
Building administration	2,604	-	-	-
General administration	225,000	208,134	208,134	-
Operation and maintenance of facilities	190,000	156,700	156,700	-
Transportation	806,130	663,430	663,430	-
Food service	40,000	-	-	-
Other services				
Community services	8,000	-	-	-
Facilities acquisition and construction	9,058,233	12,668,262	12,668,262	-
Principal	1,010,989	468,865	468,865	-
Interest	21,000	441,682	441,682	-
Other	-	540,630	540,630	-
Total expenditures	<u>11,605,352</u>	<u>15,542,985</u>	<u>15,542,985</u>	<u>-</u>
Excess of revenues (under) expenditures	<u>(8,673,339)</u>	<u>(6,966,539)</u>	<u>(6,966,539)</u>	<u>-</u>
Other financing sources (uses)				
Sale of bonds	-	50,000,000	50,000,000	-
Transfer in	1,577,045	-	-	-
Total other financing sources (uses)	<u>1,577,045</u>	<u>50,000,000</u>	<u>50,000,000</u>	<u>-</u>
Net change in fund balances	<u>(7,096,294)</u>	<u>43,033,461</u>	<u>43,033,461</u>	<u>-</u>
Fund balances - beginning	23,624,776	11,754,749	11,754,749	-
Prior period adjustment (see Note 14)	-	1,666,525	1,666,525	-
Fund balances - beginning, as restated	<u>23,624,776</u>	<u>13,421,274</u>	<u>13,421,274</u>	<u>-</u>
Fund balances - ending	<u>\$ 16,528,482</u>	<u>\$ 56,454,735</u>	<u>\$ 56,454,735</u>	<u>\$ -</u>

See independent auditors' report and accompanying notes to the financial statements.

CONSOLIDATED SCHOOL DISTRICT NO. IV OF JACKSON COUNTY, MISSOURI
COMBINED SCHEDULE OF REVENUES COLLECTED BY SOURCE
MODIFIED CASH BASIS
FOR THE YEAR ENDED JUNE 30, 2025

	General Fund	Special Revenue Fund	Debt Service Fund	Capital Projects Fund	Total (Memorandum Only)
LOCAL					
Current taxes	\$ 32,296,091	\$ -	\$ 10,053,884	\$ -	\$ 42,349,975
Delinquent taxes	1,727,898	-	549,728	-	2,277,626
School district trust fund (Prop C)	-	5,647,925	-	-	5,647,925
Financial institution tax	6,666	-	2,075	-	8,741
M & M surtax	747,059	-	-	1,029,301	1,776,360
In lieu of tax	678,112	-	211,099	-	889,211
Earnings from temporary deposits	1,585,600	-	768,025	900,625	3,254,250
Premium on bonds sold	-	-	-	5,236,593	5,236,593
Food service program - sales to pupils	131,789	-	-	-	131,789
Food service program - sales to adults	32,138	-	-	-	32,138
Food service non-program	5,590	-	-	-	5,590
Student activities	337,645	-	-	-	337,645
Rental	8,849	-	-	-	8,849
Prior period adjustment	586	-	-	-	586
Miscellaneous local revenue	658,301	-	-	-	658,301
Total local	<u>38,216,324</u>	<u>5,647,925</u>	<u>11,584,811</u>	<u>7,166,519</u>	<u>62,615,579</u>
COUNTY					
Fines, escheats, etc.	-	20,292	-	-	20,292
State assessed utilities	704,857	-	488,538	-	1,193,395
Total county	<u>704,857</u>	<u>20,292</u>	<u>488,538</u>	<u>-</u>	<u>1,213,687</u>
STATE					
Basic formula - state monies	827,083	9,517,439	-	-	10,344,522
Transportation	1,579,973	-	-	-	1,579,973
Early childhood special education	1,357,563	-	-	-	1,357,563
Basic formula - classroom trust fund	481,843	-	-	1,409,927	1,891,770
Educational screening program/PAT	116,175	-	-	-	116,175
Career education	31,122	-	-	-	31,122
Food service - State	11,788	-	-	-	11,788
Residential placement/excess cost	434,548	-	-	-	434,548
High need fund	134,819	-	-	-	134,819
Total state	<u>4,974,914</u>	<u>9,517,439</u>	<u>-</u>	<u>1,409,927</u>	<u>15,902,280</u>
FEDERAL					
State administered					
Medicaid	526,083	-	-	-	526,083
ARP - ESSER III	4,085,375	-	-	-	4,085,375
IDEA grants	10,043	-	-	-	10,043
IDEA entitlement funds, Part B IDEA	1,795,655	-	-	-	1,795,655
Early childhood special education	257,434	-	-	-	257,434
National school lunch program	1,010,670	-	-	-	1,010,670
School breakfast program	335,440	-	-	-	335,440
After school snack program	87,432	-	-	-	87,432
Fresh fruits and vegetable program	120,252	-	-	-	120,252
Title I, ESEA	1,698,336	-	-	-	1,698,336
Title IV.A, Student support & academic enrichment	91,630	-	-	-	91,630
Title III, ESEA - English language acquisition	116,598	-	-	-	116,598
Title II, ESEA - Teacher & principal	350,345	-	-	-	350,345
ARP - Homeless children and youth II	36,753	-	-	-	36,753
Headstart	713,914	-	-	-	713,914
Other federal	95,288	-	369,737	-	465,025
Total federal	<u>11,331,248</u>	<u>-</u>	<u>369,737</u>	<u>-</u>	<u>11,700,985</u>
OTHER					
Sale of bonds	-	-	-	50,000,000	50,000,000
Net insurance recovery	8,757	-	-	-	8,757
Sale of other property	525	-	-	-	525
Proceeds from refunding bonds	-	-	805,000	-	805,000
Tuition from other LEAs - regular term	-	233,567	-	-	233,567
Total other	<u>9,282</u>	<u>233,567</u>	<u>805,000</u>	<u>50,000,000</u>	<u>51,047,849</u>
Total revenue	<u>\$ 55,236,625</u>	<u>\$ 15,419,223</u>	<u>\$ 13,248,086</u>	<u>\$ 58,576,446</u>	<u>\$ 142,480,380</u>

See independent auditors' report and accompanying notes to the financial statements.



210 W. Ohio
Butler, MO 64730
Phone: 660.679.6571
Fax: 660.679.6575

1626 Hedges Plaza
Nevada, MO 64772
Phone: 417.667.6375
Fax: 417.667.6420

1118 Remington Plaza, Suite A
Raymore, MO 64083
Phone: 816.331.4242
Fax: 816.322.4646

INDEPENDENT ACCOUNTANTS' REPORT

To the Board of Education
Consolidated School District No. IV of Jackson County, Missouri
Grandview, Missouri

We have examined the District's compliance with the requirements of Missouri laws and regulations regarding budgetary and disbursement procedures; accurate disclosure of the District's attendance records of average daily attendance, standard day length, resident membership on the last Wednesday of September and January; pupil transportation records of the average daily transportation of pupils eligible and ineligible for state aid, the number of miles eligible and ineligible for state aid; and other statutory requirements as listed in the Schedule of Selected Statistics during the year ended June 30, 2025. District management is responsible for the District's compliance with the specified requirements. Our responsibility is to express an opinion on the District's compliance based on our examination.

Our examination was conducted in accordance with attestation standards established by the American Institute of Certified Public Accountants. Those standards require that we plan and perform the examination to obtain reasonable assurance about whether the District complied, in all material respects, with the specified requirements referenced above. An examination involves performing procedures to obtain evidence about whether the District complied with the specified requirements. The nature, timing, and extent of the procedures selected depend on our judgment, including an assessment of the risks of material noncompliance, whether due to fraud or error. We believe that the evidence we obtained through our examination is sufficient and appropriate to provide a reasonable basis for our opinion.

We are required to be independent of the District and to meet our other ethical responsibilities in accordance with the relevant ethical requirements relating to the examination engagement.

Our examination engagement does not provide a legal determination on the District's compliance with the specified requirements.

In our opinion, the District complied, in all material respects, with the aforementioned requirements for the year ended June 30, 2025, except as described in the accompanying schedule of findings and responses as finding 2025-001.

The District's response to the findings identified in our audit are described in the accompanying schedule of findings and responses. The District's response was not subjected to the auditing procedures applied in the audit of the financial statements and, accordingly, we express no opinion on it.

This report is intended solely for the information and use of the Board of Education, District management, and the Missouri Department of Elementary and Secondary Education and is not intended to be, and should not be, used by anyone other than these specified parties.

DSWA Certified Public Accountants. P.C.

Raymore, Missouri
December 11, 2025

CONSOLIDATED SCHOOL DISTRICT NO. IV OF JACKSON COUNTY, MISSOURI
SCHEDULE OF CURRENT YEAR FINDINGS AND RESPONSES TO THE INDEPENDENT
ACCOUNTANTS' REPORT
FOR THE YEAR ENDED JUNE 30, 2025

Budget

None

Attendance

2025-001 – Attendance Recordkeeping

Statement of Condition: The District did not maintain complete and accurate attendance records allowing for the accurate calculation of average daily attendance, membership and free and reduced lunch counts with applicable state rules and regulations.

Criteria: State rules and regulations require districts to maintain complete and accurate attendance records.

Effect: It appears the District is not in compliance with state rules and regulations.

Cause: The District failed to ensure accurate attendance records were maintained.

Recommendation: We recommend the District ensure that complete and accurate attendance records are maintained for all school buildings.

District's Response: *The District is aware of the responsibility to maintain accurate attendance records and have implemented procedures to rectify the problem.*

Transportation

None

Other Compliance

None

CONSOLIDATED SCHOOL DISTRICT NO. IV OF JACKSON COUNTY, MISSOURI
SCHEDULE OF PRIOR YEAR FINDINGS AND RESPONSES TO THE INDEPENDENT
ACCOUNTANTS' REPORT
FOR THE YEAR ENDED JUNE 30, 2025

Budget

2024-001 – Budget Compliance

Statement of Condition: The District did not amend the budget to ensure final actual expenditures were equal to or less than final budgeted figures for the General Fund or Capital Projects Fund as required by RSMo. Chapter 67.

Criteria: RSMo. 67.040 states “the political subdivision shall not increase the total amount authorized for expenditures from any fund, unless the governing body adopts a resolution setting forth the facts and reasons making the increase necessary”.

Effect: The District is out of compliance with RSMo. Chapter 67.

Cause: The District did not ensure final actual expenditures were equal to or less than final budgeted figures per fund.

Recommendation: We recommend the District ensure final actual expenditures are equal to or less than final budgeted figures per fund.

District's Response: *We will review the future budgets to ensure that we are in compliance.*

Follow Up Status at June 30, 2025: *This is no longer a finding.*

Attendance

2024-002 – Attendance Recordkeeping

Statement of Condition: The District did not maintain complete and accurate attendance records allowing for the accurate calculation of average daily attendance, membership and free and reduced lunch counts with applicable state rules and regulations.

Criteria: State rules and regulations require districts to maintain complete and accurate attendance records.

Effect: It appears the District is not in compliance with state rules and regulations.

Cause: The District failed to ensure accurate attendance records were maintained.

Recommendation: We recommend the District ensure that complete and accurate attendance records are maintained for all school buildings.

District's Response: *The District is aware of the responsibility to maintain accurate attendance records and have implemented procedures to rectify the problem.*

Follow Up Status at June 30, 2025: *This is still a finding in current year.*

Transportation

None

Other Compliance

None

For the Year Ended June 30, 2025

1. Calendar (Sections 160.041, 171.029, 171.031, and 171.033 RSMo)

Report each unique calendar the district/charter school has as defined by Sections 160.041, 171.029, 171.031, and 171.033, RSMo.

[illegible]

Notes:	

Consolidated School District No. IV of Jackson County, Missouri 048-074
Schedule of Selected Statistics
For the Year Ended June 30, 2025

2. Attendance Hours

Report the total attendance hours of PK-12 students allowed to be claimed for the calculation of Average Daily Attendance.

School Code	Grade Level	Full-Time Hours	Part-Time Hours	Remedial Hours	Other Hours	Summer School Hours	Total Hours
4020	K	225,673.3831	958.0834	0.0000	0.0000	5,814.8900	232,446.3565
4020	1	255,586.9814	0.0000	0.0000	0.0000	7,103.3300	262,690.3114
4020	2	242,000.6318	410.0000	0.0000	0.0000	7,315.8100	249,726.4418
4020	3	250,362.3966	0.0000	0.0000	0.0000	6,766.2100	257,128.6066
4020	4	251,554.2473	528.1000	0.0000	0.0000	6,042.7300	258,125.0773
4020	5	275,095.3532	0.0000	0.0000	0.0000	6,654.7000	281,750.0532
4020	6	241,386.4096	0.0000	0.0000	0.0000	4,952.5100	246,338.9196
1050	7	265,915.1178	747.6667	0.0000	0.0000	4,645.3000	271,308.0845
1050	8	260,406.9167	0.0000	0.0000	0.0000	3,088.1300	263,495.0467
1050	9	336,550.4134	0.0000	0.0000	0.0000	2,743.2000	339,293.6134
1050	10	269,160.8300	747.3000	0.0000	0.0000	10,832.0300	280,740.1600
1050	11	201,200.2572	870.8666	0.0000	0.0000	9,205.9800	211,277.1038
1050	12	144,402.6902	14,594.3634	0.0000	0.0000	6,301.8200	165,298.8736
Grand Total		3,219,295.6283	18,856.3801	0.0000	0.0000	81,466.6400	3,319,618.6484

Notes:	
--------	--

ol District No. IV of Jackson County, Missouri 048-074
Schedule of Selected Statistics
For the Year Ended June 30, 2025

3. September Membership

Report the FTE count of resident students in grades PK-12 taken the last Wednesday in September who are enrolled on the count day **and** in attendance at least 1 of the 10 previous school days, by grade at each attendance center. This count should include all PK students. If possible, note the number of PK students marked as being eligible to be claimed for state aid in the October MOSIS Student Core File (example: 102 (20 claimed for SA)).

School Code	Grade Level	Full-Time	Part-Time	Other	Total
4020	K	231.00	2.24	0.00	233.24
4020	1	262.00	0.00	0.00	262.00
4020	2	252.00	0.00	0.00	252.00
4020	3	255.00	0.00	0.00	255.00
4020	4	256.00	0.62	0.00	256.62
4020	5	283.00	0.00	0.00	283.00
4020	6	255.00	0.00	0.00	255.00
1050	7	269.00	0.61	0.00	269.61
1050	8	268.00	0.00	0.00	268.00
1050	9	408.00	0.00	0.00	408.00
1050	10	311.00	1.88	0.00	312.88
1050	11	257.00	2.44	0.00	259.44
1050	12	198.00	15.87	0.00	213.87
Grand Total		3,505.00	23.66	0.00	3,528.66

Notes:	

ol District No. IV of Jackson County, Missouri 048-074
Schedule of Selected Statistics
For the Year Ended June 30, 2025

4. January Membership

Report the FTE count of resident students in grades PK-12 taken the last Wednesday in January who are enrolled on the count day **and** in attendance at least 1 of the 10 previous school days, by grade at each attendance center. This count should include all PK students. If possible, note the number of PK students marked as being eligible to be claimed for state aid in the October MOSIS Student Core File (example: 102 (20 claimed for SA)).

[illegible]

Notes:	

Consolidated School District No. IV of Jackson County, Missouri 048-074
Schedule of Selected Statistics
For the Year Ended June 30, 2025

5. Free and Reduced Priced Lunch FTE Count (Section 163.011(6), RSMo)

Report the FTE count taken the last Wednesday in January of resident students enrolled in grades K-12 and in attendance at least 1 of the 10 previous school days whose eligibility for free or reduced lunch is documented through the application process using federal eligibility guidelines or through the direct certification process. Desegregation students are considered residents of the district in which the students are educated.

School Code	Free Lunch	Reduced Lunch	Deseg In Free	Deseg In Reduced	Total
N/A	23.00	1.00	N/A	N/A	24.00
1050	471.45	69.88	N/A	N/A	541.33
2100	230.00	38.00	N/A	N/A	268.00
4020	162.00	27.00	N/A	N/A	189.00
4040	138.00	19.00	N/A	N/A	157.00
4080	175.00	25.00	N/A	N/A	200.00
5020	311.70	27.00	N/A	N/A	338.70
5040	166.00	29.00	N/A	N/A	195.00
Grand Total	1,677.15	235.88	N/A	N/A	1,913.03

Notes:	

Consolidated School District No. IV of Jackson County, Missouri 048-074
Schedule of Selected Statistics
For the Year Ended June 30, 2025

6. Finance

Answer the following questions with an appropriate response of true, false, or N/A unless otherwise noted.

Section	Question	Answer
6.1	The district/charter school maintained a calendar in accordance with 160.041, 171.029, 171.031, and 171.033, RSMo and all attendance hours were reported.	True
6.2	The district/charter school maintained complete and accurate attendance records allowing for the accurate calculation and reporting by category of Average Daily Attendance, which includes the reporting of calendar and attendance hours, for all students in accordance with all applicable state rules and regulations. Sampling of records included those students receiving instruction in the following categories:	False
	Academic Programs Off-Campus	N/A
	Career Exploration Program – Off Campus	True
	Cooperative Occupational Education (COE) or Supervised Occupational Experience Program	True
	Dual enrollment	True
	Homebound instruction	True
	Missouri Options	N/A
	Prekindergarten eligible to be claimed for state aid	N/A
	Remediation	N/A
	Sheltered Workshop participation	N/A
	Students participating in the school flex program	N/A
	Traditional instruction (full and part-time students)	True
	Virtual instruction (MOCAP or other option)	N/A
	Work Experience for Students with Disabilities	N/A
6.3	The district/charter school maintained complete and accurate attendance records allowing for the accurate calculation of September Membership for all students in accordance with all applicable state rules and regulations.	False
6.4	The district/charter school maintained complete and accurate attendance and other applicable records allowing for the accurate reporting of the State FTE count for Free and Reduced Lunch for all students in accordance with all applicable state rules and regulations.	False
6.5	As required by Section 162.401, RSMo, a bond was purchased for the district's school treasurer or as required by Section 160.405, RSMo, a bond was purchased for the charter schools chief financial officer or an insurance policy issued by an insurance company that proves coverage in the event of employee theft in the total amount of:	\$50,000

Consolidated School District No. IV of Jackson County, Missouri 048-074
Schedule of Selected Statistics
For the Year Ended June 30, 2025

6. Finance (continued)

Section	Question	Answer
6.6	The district's/charter school's deposits were secured during the year as required by Sections 110.010 and 110.020, RSMo., and the Missouri Financial Accounting Manual.	True
6.7	The district maintained a separate bank account for all Debt Service Fund monies in accordance with Section 108.180 and 165.011, RSMo. (Not applicable to charter schools.)	True
6.8	Salaries reported for educators in the October MOSIS Educator Core and Educator School files are supported by complete and accurate payroll and contract records. This includes payments for Teacher Baseline Salary Grants and Career Ladder if applicable.	True
6.9	If a \$162,326 or 7% x SAT x WADA transfer was made in excess of adjusted expenditures, the board approved a resolution to make the transfer, which identified the specific projects to be funded by the transfer and an expected expenditure date for the projects to be undertaken. (Not applicable to charter schools.)	N/A
6.10	The district/charter school published a summary of the prior year's audit report within thirty days of the receipt of the audit pursuant to Section 165.121, RSMo.	True
6.11	The district has a professional development committee plan adopted by the board with the professional development committee plan identifying the expenditure of seventy-five percent (75%) of one percent (1%) of the current year basic formula apportionment. Remaining 25% of 1% if not spent must be restricted and spent on appropriate expenditures in the future. (Not applicable to charter schools.)	True
6.12	The amount spent for approved professional development committee plan activities was:	\$214,587
6.13	The district/charter school has posted, at least quarterly, a searchable expenditure and revenue document or database detailing actual income, expenditures, and disbursement for the current calendar or fiscal year on the district or school website or other form of social media as required by Section 160.066, RSMo.	True

Notes:	

All above "False" answers **must** be supported by a finding or management letter comment.

Finding:	6.2, 6.3 and 6.4 – Finding 2025-001
Management Letter Comment:	

Consolidated School District No. IV of Jackson County, Missouri 048-074
Schedule of Selected Statistics
For the Year Ended June 30, 2025

7. Transportation (Section 163.161, RSMo)

Answer the following questions with an appropriate response of true, false, or N/A unless otherwise noted.

Section	Question	Answer
7.1	The school transportation allowable costs substantially conform to 5 CSR 30-261.040, Allowable Costs for State Transportation Aid.	True
7.2	The district's/charter school's pupil transportation ridership records are maintained in a manner to accurately disclose in all material respects the average number of regular riders transported.	True
7.3	Based on the ridership records, the average number of students (non-disabled K-12, K-12 students with disabilities and career education) transported on a regular basis (ADT) was:	
	Eligible ADT	1,736.00
	Ineligible ADT	120.00
7.4	The district's/charter school's transportation odometer mileage records are maintained in a manner to accurately disclose in all material respects the eligible and ineligible mileage for the year.	True
7.5	Actual odometer records show the total district/charter-operated and contracted mileage for the year was:	518,685
7.6	Of this total, the eligible non-disabled and students with disabilities route miles and the ineligible non-route and disapproved miles (combined) was:	
	Eligible Miles	394,113
	Ineligible Miles (Non-Route/Disapproved)	124,572
7.7	Number of days the district/charter school operated the school transportation system during the regular school year:	169

Notes:	

All above "False" answers **must** be supported by a finding or management letter comment.

Finding:	
Management Letter Comment:	

CONSOLIDATED SCHOOL DISTRICT NO. IV OF JACKSON COUNTY, MISSOURI
SCHEDULE OF EXPENDITURES OF FEDERAL AWARDS
FOR THE YEAR ENDED JUNE 30, 2025

Program	Federal Assistance Listing Number	Pass-Through Entity's Identifying Number	Passed-through to Subrecipients	Expenditures
CASH FEDERAL AWARDS				
<u>U.S. Department of Education</u>				
Passed through Missouri Department of Elementary and Secondary Education:				
Special Education Cluster				
Special Education Grants to States				
Part B Entitlement	84.027A	H027A240040	\$ -	\$ 1,002,036
Special Education Early Childhood High Need	84.027A	H027A240040	-	129,313
Total Special Education Grants to States	84.027A	H027A230040	-	10,043
Special Education Preschool			-	1,141,392
Special Education Preschool	84.173A	H173A240103	-	27,070
Total Special Education Preschool			-	27,070
Total Special Education Cluster			-	1,168,462
Title I	84.010A	S010A230025	-	1,044,960
Title II Part A ESEA	84.367A	S367A240024	-	222,758
Title III				
Title III ESEA English Language Acquisition	84.365A	S365A230025	-	84,153
Title III - Immigrant	84.365A	S365A230025	-	15,773
Total Title III			-	99,926
Title IV.A Student Support and Academic Enrichment Program	84.424A	S424A240026	-	124,249
Education Stabilization Fund				
COVID-19 - ARP-CCY Homeless Children & Youth II	84.425W	S425W210026	-	29,733
Total Education Stabilization Fund			-	29,733
Total U.S. Department of Education			-	2,690,088
<u>U. S. Department of Health and Human Resources</u>				
Passed through Missouri Department of Elementary and Secondary Education:				
Missouri School Health Profiles	93.079	NU87PS004326	-	100
Total Missouri School Health Profiles			-	100
Passed through Mid-America Regional Council:				
Head Start Cluster				
Head Start	93.600	07CH7056	-	578,240
Total Head Start Cluster			-	578,240
Total U.S. Department of Health and Human Resources			-	578,340
<u>U.S. Environmental Protection Agency</u>				
Passed through Missouri Department of Natural Resources:				
Diesel Emissions Reduction Act	66.040	N/A	-	95,187
Total U.S. Environmental Protection Agency			-	95,187
<u>U.S. Department of Agriculture</u>				
Passed through Missouri Department of Elementary and Secondary Education:				
Child Nutrition Cluster				
School Food Service Fruits and Vegetables	10.582	202524L16034	-	120,252
School Breakfast Program	10.553	20252N109943	-	335,440
National School Lunch Program				
National School Lunch Program	10.555	20252N109943	-	1,010,670
After School Snack Program	10.555	20252N109943	-	87,432
NON-CASH FEDERAL AWARDS				
Food Distribution (Commodities)	10.555	20252N109943	-	157,601
Total National School Lunch Program			-	1,255,703
Total Child Nutrition Cluster			-	1,711,395
Total U.S. Department of Agriculture			-	1,711,395
Total Federal Awards			\$ -	\$ 5,075,010

See accompanying notes to the Schedule of Expenditures of Federal Awards.

CONSOLIDATED SCHOOL DISTRICT NO. IV OF JACKSON COUNTY, MISSOURI

NOTES TO THE SCHEDULE OF EXPENDITURES OF FEDERAL AWARDS

1. **SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES:**

- A. Basis of Presentation: The accompanying Schedule of Expenditures of Federal Awards (Schedule) includes the federal award activity of the Consolidated School District No. IV of Jackson County, Missouri under programs of the federal government for the year ended June 30, 2025. The information in this Schedule is presented in accordance with the requirements of Title 2 U.S. Code of Federal Regulations Part 200, Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards (Uniform Guidance). Because the schedule presents only a selected portion of the operations of Consolidated School District No. IV of Jackson County, Missouri, it is not intended to and does not present the financial position, changes in net assets, or cash flows of Consolidated School District No. IV of Jackson County, Missouri.
- B. Summary of Significant Accounting Policies: Expenditures reported on the Schedule are reported on the modified cash basis of accounting. Such expenditures are recognized following the cost principles contained in the Uniform Guidance, wherein certain types of expenditures are not allowable or are limited as to reimbursement.
- C. Indirect Cost Rate: The District has elected not to use the 10-percent de minimis indirect cost rate allowed under the Uniform Guidance.

2. **NONMONETARY ASSISTANCE:**

The District receives commodities under the Food Distribution Program. The amount of expenditures presented on the Schedule of Expenditures of Federal Awards represent donated commodities used, which totaled \$157,601 valued at the cost assigned to those commodities by the U.S. Department of Agriculture.

3. **SUBSEQUENT EVENTS:**

The District reclassified expenditures for the fiscal years ending June 30, 2023 and 2022, from non-federal to federal expenditures, thereby requiring correction of the *Schedule of Expenditures of Federal Awards*. Further, additional testing on the reclassified expenditures and reissuance of audit reports will be required for the prior years to comply with the *Office of Management and Budget Uniform Guidance in 2 CFR 200 Subpart F*, commonly known as the Single Audit. Such testing has not been completed prior to the date of this report. Any findings discovered in the prior years' testing could be material and, accordingly, could affect the content of prior year findings on page 49 of this audit report, page 52 of the June 30, 2024 audit report, page 52 of the June 30, 2023 audit report and page 51 of the June 30, 2022 audit report. At the date of this report, December 11, 2025, it is unknown if this will affect the basic financial statements for the years ended June 30, 2022, 2023, 2024 and 2025.



210 W. Ohio
Butler, MO 64730
Phone: 660.679.6571
Fax: 660.679.6575

1626 Hedges Plaza
Nevada, MO 64772
Phone: 417.667.6375
Fax: 417.667.6420

1118 Remington Plaza, Suite A
Raymore, MO 64083
Phone: 816.331.4242
Fax: 816.322.4646

**INDEPENDENT AUDITORS' REPORT ON COMPLIANCE FOR EACH MAJOR PROGRAM AND ON
INTERNAL CONTROL OVER COMPLIANCE REQUIRED BY THE UNIFORM GUIDANCE**

To the Board of Education
Consolidated School District No. IV of Jackson County, Missouri
Grandview, Missouri

Report on Compliance for Each Major Federal Program

Opinion on Each Major Federal Program

We have audited the District's compliance with the types of compliance requirements identified as subject to audit in the *OMB Compliance Supplement* that could have a direct and material effect on each of the District's major federal programs for the year ended June 30, 2025. The District's major federal programs are identified in the summary of auditors' results section of the accompanying schedule of findings and questioned costs.

In our opinion, the District complied, in all material respects, with the types of compliance requirements referred to above that could have a direct and material effect on each of its major federal programs for the year ended June 30, 2025.

Basis for Opinion on Each Major Federal Program

We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America; the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States; and the audit requirements of Title 2 U.S. *Code of Federal Regulations* Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). Our responsibilities under those standards and the Uniform Guidance are further described in the Auditor's Responsibilities for the Audit of Compliance section of our report.

We are required to be independent of the District and to meet our other ethical responsibilities, in accordance with relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion on compliance for each major federal program. Our audit does not provide a legal determination of the District's compliance with the compliance requirements referred to above.

Responsibilities of Management for Compliance

Management is responsible for compliance with the requirements referred to above and for the design, implementation, and maintenance of effective internal control over compliance with the requirements of laws, statutes, regulations, rules, and provisions of contracts or grant agreements applicable to the District's federal programs.

Auditors' Responsibilities for the Audit of Compliance

Our objectives are to obtain reasonable assurance about whether material noncompliance with the compliance requirements referred to above occurred, whether due to fraud or error, and express an opinion on the District's compliance based on our audit. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with generally accepted auditing standards, *Government Auditing Standards*, and the Uniform Guidance will always detect material noncompliance when it exists. The risk of not detecting material noncompliance resulting from fraud is higher than for that resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Noncompliance with the compliance requirements referred to above is considered material if there is a substantial

likelihood that, individually or in the aggregate, it would influence the judgment made by a reasonable user of the report on compliance about the District's compliance with the requirements of each major federal program as a whole.

In performing an audit in accordance with generally accepted auditing standards, *Government Auditing Standards*, and the Uniform Guidance, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material noncompliance, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the District's compliance with the compliance requirements referred to above and performing such other procedures as we considered necessary in the circumstances.
- Obtain an understanding of the District's internal control over compliance relevant to the audit in order to design audit procedures that are appropriate in the circumstances and to test and report on internal control over compliance in accordance with the Uniform Guidance, but not for the purpose of expressing an opinion on the effectiveness of the District's internal control over compliance. Accordingly, no such opinion is expressed.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and any significant deficiencies and material weaknesses in internal control over compliance that we identified during the audit.

Report on Internal Control over Compliance

A deficiency in internal control over compliance exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, noncompliance with a type of compliance requirement of a federal program on a timely basis. *A material weakness in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance, such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a federal program will not be prevented, or detected and corrected, on a timely basis. *A significant deficiency in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance with a type of compliance requirement of a federal program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance.

Our consideration of internal control over compliance was for the limited purpose described in the Auditors' Responsibilities for the Audit of Compliance section above and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies in internal control over compliance. Given these limitations, during our audit we did not identify any deficiencies in internal control over compliance that we consider to be material weaknesses, as defined above. However, material weaknesses or significant deficiencies in internal control over compliance may exist that were not identified.

Our audit was not designed for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, no such opinion is expressed.

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the requirements of the Uniform Guidance. Accordingly, this report is not suitable for any other purpose.

DSWA Certified Public Accountants, P.C.

Raymore, Missouri
December 11, 2025

**CONSOLIDATED SCHOOL DISTRICT NO. IV OF JACKSON COUNTY, MISSOURI
SCHEDULE OF FINDINGS AND QUESTIONED COSTS
FOR THE YEAR ENDED JUNE 30, 2025**

SUMMARY OF AUDITORS' RESULTS

Financial Statements

Type of auditors' report issued: Unmodified

Internal control over financial reporting:

Material weakness identified? Yes ____ No X

Significant deficiencies identified not
considered to be material weaknesses? Yes ____ None reported X

Noncompliance material to financial statements noted? Yes ____ No X

Federal Awards

Internal control over programs:

Material weaknesses identified? Yes ____ No X

Significant deficiencies identified not
considered to be material weaknesses? Yes ____ None reported X

Type of auditors' report issued on
compliance for major programs: Unmodified

Any audit findings disclosed that are required
to be reported in accordance with
Uniform Guidance Section 2 CFR 200.516(a)? Yes ____ No X

Identification of Major Programs:

<u>Assistance Listing Number</u>	<u>Name of Federal Program</u>
Child Nutrition Cluster	
10.553	School Breakfast Program
10.555	National School Lunch Program
10.582	School Food Service Fruits and Vegetables
Title I	
84.010A	Title I Grants to Local Educational Agencies
Title II Part A ESEA	
84.367A	Supporting Effective Instruction State Grants
Dollar threshold used to distinguish between Type A and Type B programs:	\$ 750,000
Auditee qualified as low risk auditee?	Yes ____ No <u>X</u>

**CONSOLIDATED SCHOOL DISTRICT NO. IV OF JACKSON COUNTY, MISSOURI
SCHEDULE OF FINDINGS AND QUESTIONED COSTS
FOR THE YEAR ENDED JUNE 30, 2025**

FEDERAL AWARD FINDINGS AND QUESTIONED COSTS

No matters were reported.